

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

MOSES, DAMISA,	)	
	)	
Complainant,	)	
	)	DOCKET NO.:
v.	)	
	)	<u>1967(F)</u>
TRANS ATLANTIC SHIPPING, LLC	)	
	)	
Respondent.	)	

**COMPLAINANT’S REPLY TO RESPONDENT RESPONSE TO COMPLAINANT’S
MOTION TO DISMISS**

COMES NOW Complainant MOSES DAMISA (hereinafter referred to as the “Complainant” or “Damisa”) by and through his undersigned counsel, hereby files his reply to Respondent TRANS ATLANTIC SHIPPING, LLC’S (hereinafter referred to as the “Respondent” or “Trans Atlantic”) Response in Opposition to Complainant’s Motion to Dismiss without prejudice. As set forth below, Complainant’s Motion to Dismiss without Prejudice should be granted by the Federal Maritime Commission (hereinafter referred to as the “FMC”).

LEGAL ARGUMENT AND ANALYSIS

**I. DISMISSAL WITHOUT PREJUDICE WILL NOT CAUSE LEGAL PREJUDICE
TO THE RESPONDENT**

As previously noted, Complainant is entitled to seek a dismissal of this case without prejudice and file a claim for breach of contract in state court. While Rule 41 of the Federal Rules of Civil Procedure provides that “once an answer is filed by an adverse party, an action may not be dismissed at plaintiff’s instance without order of the Court and upon such terms and condition as the Court deems proper.” Fed. R. Civ. P. 41(a)(2). However, courts have consistently held that it is “ordinarily proper to grant a motion to dismiss unless the defendant

will suffer some plain legal prejudice beyond the mere prospect of a second lawsuit.” *Durham v. Florida East Coast Ry. Co.*, 385 F.2d 366, 368 (5th Cir. 1967). Respondent’s contention that one part of Complainant’s motion should be denied is without merit.

As previously cited, the case most analogous to our case is the *Fleming v. Joy Finance Co.*, 1995 U.S. Dist. LEXIS 19106 (E.D. La 1995). In the *Fleming* matter, the plaintiff sought to have the case dismissed without prejudice so that he could pursue his claims in state court after having filed first for relief in federal district court pursuant to the Jones Act and general maritime law provisions. *Id.* The Fleming Court held that, “absent a showing that granting plaintiff’s motion will cause undue prejudice, such as that a defense available to the defendant would be unavailable in state court, or that plaintiff was simply trying to circumvent as expected result, it must grant plaintiff’s motion for voluntary dismissal. *Romero v. Universal Ogden Servs.*, 1997 U.S. Dist. LEXIS 16380 (E.D. La. 1997)(citing *In re Fleming* at *2). Furthermore, Courts have found that the mere fact Complainant may obtain some tactical advantage over the defendant in future state court litigation is ordinarily not a sufficient reason to bar dismissal. *Ikospentakis v. Thalassic Steamship Agency*, 915 F.2d 176 (5th Cir. 1990). These cases are on point and are dispositive of whether Damisa is entitled to have his Motion to Dismiss without Prejudice granted.

Respondent has argued that a state court lacks jurisdiction over violations of 46 U.S.C. §41102(c). Damisa concedes that any alleged violation under 46 U.S.C. §41102(c) is within the exclusive jurisdiction of the FMC to adjudicate. Damisa does not plan to bring a claim under 46 U.S.C. §41102(c) in state court. Damisa does intend to bring a breach of contract claim as well as other state law claims as Damisa has every legal right to bring. Respondent has provided no evidence that it is unduly prejudiced by Damisa dismissing this matter and seeking to file a new matter in state court. Thus, Respondent has failed to meet its burden.

Respondent alleges that significant time and money has been expended litigating this matter before the FMC, including the hiring of an attorney, filing of an answer, mediation, and discovery. However, this matter has been pending for less than a year. During this time, the parties engaged in discovery and mediation. All status reports were prepared by Damisa's counsel. Damisa concedes that Respondent did have to hire an attorney, prepare an answer, conduct discovery and participate in mediation....but all of these actions will benefit Respondent in the state court action. There can be no doubt that the documents relevant to the FMC matter are also relevant in any breach of contract claim filed in state court. Both cases involve the abject failure of Respondent to perform its duties under the contract which are the same failures that form the basis of Complainant's FMC Complaint under 46 U.S.C. §41102(c).

This Court should note that Damisa filed his Motion to Dismiss before the briefing work 46 U.S.C. §41102(c) was completed by either party. Damisa recognizes that this briefing work would be specific to his FMC claims. Because all of the work performed by Respondent is useful in state court, Respondent's request for attorney's fees should be denied.

Damisa did not take earlier action to dismiss this case and file in state court because Damisa was unaware of all the facts and evidence until extensive discovery had been conducted and mediation had been attempted and had failed. Mediation was completed in June 2021 and Damisa filed its motion for dismissal on July 26, 2021. There has been no significant delay by Damisa in filing for dismissal. In fact, it is beneficial to both parties to attempt mediation in the FMC matter before dismissal. While mediation was ultimately unsuccessful, there can be no doubt that the opportunity to settle the dispute between the parties at this early stage would benefit both parties and ultimately save money for the clients. Furthermore, all discovery that was completed in this matter will benefit Respondent in the state court action.

Trans Atlantic attempts to provide guidance to this Court for determining whether plain legal prejudice will result from the dismissal of this action. *See* Opposition, Page 6. However, the Eleventh Circuit (where both parties reside) has not adopted the four-factor test as Trans Atlantic so implies. Rather, “In applying Rule 41(a)(2), the Eleventh Circuit has held: A voluntary dismissal without prejudice is not a matter of right. Although we have said that in most cases a voluntary dismissal should be allowed unless the defendant will suffer some plain prejudice other than the mere prospect of a second lawsuit, the decision whether or not to grant such a dismissal is within the sound discretion of the district court...” *Jones v. Smartvideo Techs., Inc.*, 2007 U.S. Dist. Lexis 40699 (N.D. Ga, 2007). Thus, the ability to determine whether legal prejudice will result lies solely in the sound discretion of this Court.

To demonstrate that it will be prejudiced by the dismissal of this action, Trans Atlantic states that it will incur additional legal expenses for defense of any future state court litigation. However, any pleadings and discovery completed in this case are entirely relevant and beneficial to Respondent in the state court action. Money spent in defense of this matter would still have been required to be expended for state court litigation, as the state court claims involve the same facts, circumstances and documents in the instant action.

Based on the foregoing, Trans Atlantic has failed to make a showing that the dismissal will cause it undue prejudice and thus, the Court should grant Damisa’ motion to dismiss without prejudice.

II. COMPLAINANT PROPERLY STATED A CLAIM FOR WHICH RELIEF COULD BE GRANTED

Respondent further alleges that Damisa failed to state a claim for relief could be granted. However, by its own admission, Respondent indicated that “as a result of labor shortage, [Trans Atlantic] unwittingly failed to load the entirety of Complainant’s items into the container.” *See* Opposition Page 10 and Exhibit E, Rog #13 to Response. While Damisa affirmatively believes that he would be successful on all claims currently pending before this Court, after further consideration, Damisa determined that a breach of contract is a more appropriate claim. Thus, Damisa has properly stated a claim for which relief could be granted.

Whether Damisa would have been successful in his claims under 46 U.S.C. §41102(c) is unknown as the Court has not entertained arguments on that question, and the parties have not filed briefs on that issue. Respondent has not filed any kind of dispositive motion regarding Damisa’s claims under 46 U.S.C. §41102(c) and other than their responsive pleadings, have taken no action to dispute Damisa’s claims. Because Damisa’s claims have not been argued, briefed or decided by this Court, Respondent’s argument that Damisa failed to properly state a claim for which relief could be granted is without merit.

Trans Atlantic argues that the claims alleged in this proceeding are within the exclusive jurisdiction of the FMC and cannot be adjudicated in state court. However, Damisa, again, concedes that any alleged violation under 46 U.S.C. §41102(c) is within the exclusive jurisdiction of the FMC to adjudicate. Damisa is not seeking to bring a claim under 46 U.S.C. §41102(c) in state court, but that Damisa intends to file a claim for breach of contract and other state law relief.

This Court should grant Damisa’s motion to voluntarily dismiss this action and refile in state court. Like the *Fleming* case, there is no undue prejudice caused to Trans Atlantic by Damisa’s dismissal of this matter and the filing of a new matter in state court. Furthermore, there is no defenses available to Trans Atlantic in this Court that will be barred in a state court action.

For these reasons, the Court should grant Damisa's Motion to Dismiss without Prejudice the instant action.

III. AN AWARD OF ATTORNEY'S FEES AND COSTS SHOULD NOT BE GRANTED

Trans Atlantic alleges that it is entitled to an award of attorney's fees because Damisa has failed to state a claim for relief that could be granted. As argued in Section II above, there is no foundation for this claim that Damisa's claims fail to state a claim for relief. By its own admission, Respondent indicated that "as a result of labor shortage, [Trans Atlantic] unwittingly failed to load the entirety of Complainant's items into the container." *See* Opposition Page 10 and Exhibit E, Rog #13 to Response. While Damisa affirmatively believes that he would be successful on all claims currently pending before this Court, after further consideration, Damisa determined that a breach of contract is a more appropriate claim. For these reasons, Damisa has properly stated a claim for which relief could be granted.

Trans Atlantic claims that it is not responsible for Damisa's damages that have occurred for the termination of any of Damisa's business contracts. This defense is a perfect issue for a state court action. Additionally, Trans Atlantic alleges that the claims brought by Damisa were frivolous despite admitting in its Opposition that Trans Atlantic did in fact fail to fulfill all its obligations under the terms of the shipping agreement with Damisa. Trans Atlantic has provided no evidence that any claims brought by Damisa amount to frivolous litigation. Damisa was not in possession of all of the evidence relating to its claim or Trans Atlantic practices until discovery was conducted. After reviewing the information provided by Trans Atlantic, only then was Damisa able to determine that state court was the appropriate forum to adjudicate its claims against Trans Atlantic.

Damisa further shows the Court that he filed this Motion to Dismiss only after extensive discovery had been conducted and mediation had been attempted and failed. Damisa did not take earlier action to dismiss this case and file in state court because Damisa wanted to take advantage of the mediation services available through the FMC. Respondent insisted that the parties engage in discovery prior to mediation and Damisa agreed. All discovery in this matter will benefit Respondent in the state court action. Likewise, mediation attended in this matter will also benefit the parties in the state court action.

Because this Motion to Dismiss was filed after the conclusion of mediation and before any FMC briefing occurred, there has been no significant delay by Damisa in filing for dismissal. The attorney's fees expended by Respondent are reasonable and necessary to advance the case, conduct discovery and attend mediation all of these benefit the Respondent in preparing a state court defense.

Based on the foregoing, no award of attorney's fees is justified as there is no undue prejudice that will result from the dismissal of this matter. Damisa's motion should be granted and an award of attorney's fees should be denied.

IV. ALTERNATIVELY, THE COURT SHOULD DISMISS THIS CASE WITH PREJUDICE

Respondent argues that the Court should dismiss the case with prejudice as an alternative theory in its opposition to Damisa's Motion to Dismiss. Assuming arguendo that the Court is not persuaded by Damisa's arguments above, the Court should enter a dismissal of this matter with prejudice as the Respondent has proposed. Damisa vehemently opposing any award of attorney's fees to Respondent and thus the option of a dismissal with prejudice would be preferable to any award of attorney's fees to Respondent.

As cited above, case law provides for Damisa's right to dismiss this matter and file for relief in state court. Trans Atlantic has provided no evidence to the support that it would be prejudiced by Damisa's filing for relief in state court. Therefore, Damisa is clearly entitled to a dismissal of this action. If the Court finds that there is some merit to Respondent's arguments, the Court should grant the motion to dismiss, but with prejudice and deny Respondent's claim for attorney's fees.

V. CONCLUSION

Based on the foregoing, this Court should grant Damisa's motion and issue an order dismissing this matter without prejudice.

This 11th day of August 2021.

Respectfully submitted,
THRIFT MCLEMORE

/s/ Matthew P. Collins

Matthew P. Collins
Georgia Bar No. 178626
Counsel for Complainant

1000 Parkwood Circle SE Suite 900
Atlanta, GA 30339
Phone: 404-214-6070
mcollins@thriftlegal.com

CERTIFICATE OF SERVICE

The undersigned counsel hereby certifies that the within and foregoing **Complainant's Reply to Respondent Response to Complainant's Motion to Dismiss** has been served upon all parties and opposing counsel via email to wit:

THE MOONEY LAW FIRM, LLC
Shanshan (Shannon) Liang, Of-Counsel
2717 Neuchatel Drive
Tallahassee, FL 32303
Phone: 850-893-0670
sliang@customscourt.com

This 11th day of August 2021.

Respectfully submitted,
THRIFT MCLEMORE LLC

/s/ Matthew P. Collins
Matthew P. Collins
Georgia Bar No. 178626

1000 Parkwood Circle, Suite 900
Atlanta, GA 30339
Phone: 404.214.6070
Fax: 678.669.1518
Email: mcollins@thriftlegal.com